

IRS Tax Topic Guidance - Standard Deduction, EITC, Withholding

Source: Internal Revenue Service (irs.gov) public guidance pages. Public domain.

IRS TOPIC NO. 551 - STANDARD DEDUCTION

The standard deduction is a specific dollar amount that reduces the amount of income on which you're taxed. Your standard deduction consists of the sum of the basic standard deduction and any additional standard deduction amounts for age and/or blindness. In general, the standard deduction is adjusted each year for inflation and varies according to your filing status, whether you're 65 or older and/or blind, and whether another taxpayer can claim you as a dependent. The standard deduction isn't available to certain taxpayers. You can't take the standard deduction if you itemize your deductions. Refer to Topic no. 501, Should I itemize? for more information.

Additional standard deduction – You're allowed an additional deduction if you're age 65 or older at the end of the tax year. You're considered to be 65 on the day before your 65th birthday (for tax year 2025, you're considered to be 65 if you were born before January 2, 1961). You're allowed an additional deduction for blindness if you're blind on the last day of the tax year. For example, a single taxpayer who is age 65 and blind would be entitled to a basic standard deduction and an additional standard deduction equal to the sum of the additional amounts for both age and blindness. For tax year 2025, your additional standard deduction based on age or blindness is \$1,600, but can increase to \$2,000 if you're also unmarried and not a surviving spouse.

For the definition of blindness, refer to Publication 501, Dependents, Standard Deduction, and Filing Information . If you or your spouse were age 65 or older and/or blind at the end of the year, be sure to claim an additional standard deduction by checking the appropriate boxes for age or blindness on Form 1040, U.S. Individual Income Tax Return or Form 1040-SR, U.S. Tax Return for Seniors .

Increased standard deduction – If you had a net qualified disaster loss and you elect to increase your standard deduction by the amount of your net qualified disaster loss, use Schedule A (Form 1040) to figure your standard deduction. For more information, see the Instructions for Schedule A and the Instructions for Form 4684 .

Dependents – If you can be claimed as a dependent by another taxpayer, your standard deduction for 2025 is limited to the greater of: (1) \$1,350, or (2) your earned income plus \$450 (but the total can't be more than the basic standard deduction for your filing status).

Enhanced Senior Deduction

Separately from the standard deduction, for tax year 2025, seniors age 65 and older may be eligible for an enhanced deduction for seniors of \$6,000 subject to an adjusted gross income limitation. You must have a valid SSN and file a joint return if married and use Schedule 1-A (Form 1040), Additional Deductions PDF to claim the deduction.

Not eligible for the standard deduction

Certain taxpayers aren't entitled to the standard deduction:

You are a married individual filing as married filing separately whose spouse itemizes deductions

You are an individual who was a nonresident alien or dual status alien during the year (see below for certain exceptions)

You are an individual who files a return for a period of less than 12 months due to a change in your annual accounting period

You are filing as an estate or trust, common trust fund, or partnership

However, certain individuals who were nonresident aliens or dual status aliens during the year may take the standard deduction in the following cases:

You are a nonresident alien who is married to a U.S. citizen or resident alien at the end of the tax year and make a joint election with your spouse to be treated as a U.S. resident for the entire tax year;

You are a nonresident alien at the beginning of the tax year who is a U.S. citizen or resident by the end of the tax year, is married to a U.S. citizen or resident at the end of such tax year, and make a joint election with your spouse to be treated as a U.S. resident for the entire tax year; and

Students and business apprentices who are residents of India and are eligible for benefits under paragraph 2 of Article 21 (Payments Received by Students and Apprentices) of the United States-India Income Tax Treaty

Refer to Publication 519, U.S. Tax Guide for Aliens for more information.

Additional information

For more information, refer to How much is my standard deduction? , Publication 501 , Publication 17 , and Code Section 63(c).

IRS - EARNED INCOME TAX CREDIT (EITC) OVERVIEW

The Earned Income Tax Credit (EITC) helps low- to moderate-income workers and families get a tax break. If you qualify, you can use the credit to reduce the taxes you owe – and maybe increase your refund. Who qualifies You may claim the EITC if your income is low- to moderate. The amount of your credit may change if you have children or dependents, are disabled or meet other criteria. Military and clergy should review our special EITC rules because using this credit may affect other government benefits. Check if you qualify If you claim this credit , your refund may be delayed . By law, we must wait until mid-February to issue refunds to taxpayers who claim the Earned Income Tax Credit. Still not sure if you qualify for the EITC? These resources may help: Basic EITC qualifications Earned income Income limits and credit tables Rules for qualifying children Rules for self-only EITC Disability and the Earned Income Tax Credit Tax benefits eligibility chart How to claim this credit Get instructions on how to claim the EITC for past tax years. Find information on how to avoid common errors . Information if we audit or deny your claim Find out what to do if you received a letter about the EITC and what documents to send in . What to do if we deny your claim How to claim the credit if we denied it in the past Other credits you may qualify for If you qualify for the EITC, you may also qualify for other tax credits. Child Tax Credit and the Credit for Other Dependents Child and Dependent Care Credit Education credits Adoption Credit Resources Publication 596, Earned Income Credit (EIC) Free tax preparation help - Prepared by IRS-certified volunteers Free electronic tax filing – Self prepared Choose a tax professional Find out what you need to bring to your preparer EITC central has tools and information for IRS partners, community organizations, employers, government agencies and offices and tax preparers.

IRS TOPIC NO. 753 - EMPLOYEE TAX WITHHOLDING

General information

When you hire an employee, you must have the employee complete a Form W-4, Employee's Withholding Certificate . Form W-4 tells you the employee's filing status, multiple jobs adjustments, amount of credits, amount of other income, amount of deductions, and any additional amount to withhold from each paycheck to use to compute the amount of federal income tax to deduct and withhold from the employee's pay. If an employee fails to give you a properly completed Form W-4, you must withhold federal income taxes as if the employee is single or married filing separately with no other entries on step 2, 3, or 4 of the Form W-4. This means that a single filer's standard deduction with no other entries will be considered in determining withholding.

If you receive a revised Form W-4 from an employee, you must put it into effect no later than the start of the first payroll period ending on or after the 30th day from the date you received the revised Form W-4. You must honor the request unless the situations described below in the sections Invalid Form W-4 and Lock-in letters apply.

You can download and print a Form W-4 , order multiple copies , or call 800-TAX-FORM (800-829-3676). You may also use a substitute Form W-4 you developed instead of the official Form W-4, if you also provide the tables, instructions, and worksheets contained in the Form W-4 in effect at that time. The substitute Form W-4 must contain language that's identical to the official Form W-4 and must meet current IRS rules for substitute forms . You may not accept a substitute form developed by an employee. The employee submitting such form will be treated as failing to furnish a Form W-4.

Form W-4 includes detailed worksheets to help employees figure their correct adjustments. Employees may also want to access the IRS Tax Withholding Estimator for help in completing Form W-4. Nonresident aliens must follow special instructions when completing a Form W-4. Have your nonresident alien employees see Notice 1392, Supplemental Form W-4 Instructions for Nonresident Aliens and the Instructions for Form 8233, Exemption From Withholding on Compensation for Independent (and Certain Dependent) Personal Services of a Nonresident Alien Individual before completing a Form W-4. They should also review Chapter 8 of Publication 519, U.S. Tax Guide for Aliens for important information on withholding.

You may establish an electronic system to receive Forms W-4 from your employees. Refer to Employment Tax Regulations section 31.3402(f)(5)-1(c) and Publication 15-A, Employer's Supplemental Tax Guide for more information.

You can access other language versions of Form W-4 from the About Form W-4 page.

You should inform your employees of the importance of submitting an accurate Form W-4. An employee may be subject to a \$500 penalty if the employee submits, with no reasonable basis, a Form W-4 that results in less tax being withheld than is required. Refer to Chapter 4 of Publication 17, Your Federal Income Tax For Individuals .

For additional information, refer to Publication 15 (Circular E), Employer's Tax Guide , Publication 15-T, Federal Income Tax Withholding Methods and Publication 505, Tax Withholding and Estimated Tax . For the procedures for withholding income taxes on the wages of nonresident alien employees, refer to Publication 15-T .

Exemption from withholding

An employee can also use Form W-4 to tell you not to withhold any federal income tax. To qualify for this exempt status, the employee must have had no tax liability for the previous year and must expect to have no tax liability for the current year. A Form W-4 claiming exemption from withholding is valid for only the calendar year in which it's furnished to the employer. To continue to be exempt from withholding in the next year, an employee must give you a new Form W-4 claiming exempt status by February 15 of that year. This date is delayed until the next business day if it falls on a Saturday, Sunday, or legal holiday. If the employee doesn't give you a new Form W-4 by February 15, withhold tax as if the employee is single or married filing separately with no other entries in step 2, 3, or 4. If the employee provides a new Form W-4 claiming exemption from withholding on February 16 or later, you may apply it to future wages but don't refund any taxes withheld while the exempt status wasn't in place.

Invalid Form W-4

Any unauthorized change or addition to Form W-4 makes it invalid. This includes taking out any language by which the employee certifies that the form is correct, material defacing of the form, or any writing on the form other than the entries requested. A Form W-4 is also invalid if by the date an employee gives it to you, the employee indicates in any way that it's false. When you get an invalid Form W-4, don't use it to determine federal income tax withholding. Tell the employee that it's invalid and ask for another one. If the employee doesn't give you a valid one, withhold taxes as if the employee is single or married filing separately with no other entries in step 2, 3, or 4. However, if you have an earlier Form W-4 for this employee that's valid, withhold as you did before.

Recordkeeping requirements

After the employee completes and signs the Form W-4, you must keep it in your records for at least 4 years (see Publication 15 and Topic no. 305, Recordkeeping). This form serves as verification that you're withholding federal income tax according to the employee's instructions and needs to be available for inspection should the IRS ever request it. Form W-4 is still subject to review. You may be directed (in a written notice or in future published guidance) to send certain Forms W-4 to the IRS. You must be able to supply a hardcopy of an electronic Form W-4.

Lock-in letters

The IRS uses information reported on Forms W-2, Wage and Tax Statement to identify employees with withholding compliance problems. In some cases, where a serious under-withholding problem is found to exist for a particular employee, the IRS may issue a notice (commonly referred to as a "lock-in-letter") to you specifying the filing status, multiple job adjustments, and maximum amount of credit or deductions permitted for a specific employee for purposes of calculating the required withholding (see Publication 15). The IRS will provide the employee with an opportunity to dispute the determination before you adjust withholding based on the lock-in letter.

The IRS will send a letter to the employee explaining that the IRS will require you to start withholding additional income tax unless the employee contacts the IRS to explain why the employee shouldn't have withholding increased. A toll-free number and address for the unit handling this program will be provided in the letter. As an additional safeguard, you'll also receive a notice to provide to the employee.

After the lock-in letter takes effect, you must disregard any Form W-4 that results in less tax withheld, until the IRS notifies you otherwise. However, you **MUST** honor any Form W-4 that results in more income tax withheld than at the withholding arrangement specified in the lock-in letter. Employers who use electronic Form W-4 systems must make sure the employee can't override the lock-in letter to decrease withholding via an electronic Form W-4 system. Lock-in letter provisions also apply to employees rehired within 12 months from the date of the notice.

After the lock-in letter takes effect, if the employee wants to claim complete exemption from withholding or claim a filing status, multiple job adjustments, or an amount of credits or deductions that results in less income tax withheld than the lock-in letter, the employee must contact the IRS. A toll-free number and address for the unit handling this program is provided in the lock-in letter.